MSc Finance 20127

Corporate Finance (Business Valuation)
01 — Introduction

Stefano Rossi

Bocconi, IGIER, CEPR, and ECGI

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Our Journey

Welcome to **20127 Corporate Finance (Business Valuation)**!

- Our journey: **From valuation formulas to professional valuation judgment**
  1. **Core valuation mechanics**. Exam-relevant, needed by everyone
  2. **Professional implementation**. Excel, cases, group homework, interviews
  3. **Research-based judgment**. What modern finance research teaches practitioners
- By the end of the course, you should be able to defend a valuation, not just compute one

Today's Central Question

- Why can smart analysts look at the same company and reach very different valuations?







The Valuation Workflow

Equity story $\longrightarrow$ Financial statements $\longrightarrow$ Forecasts $\longrightarrow$ Cash flows $\longrightarrow$ Discount rate $\longrightarrow$ Terminal value $\longrightarrow$ Multiples $\longrightarrow$ Value bridge $\longrightarrow$ Recommendation

- Every session, exercise, exam question, and deliverable fits somewhere in this workflow

Attending or Non-Attending? Choose Your Mode Deliberately

Mode	Best For:	Assessment	What You Learn
Attending (Project Mode)	IB/M&A/PE-style applied learning	Shorter exam + group valuation	Professional workflow; teamwork; presentation
Non-Attending (Exam Mode)	Individual study; scheduling constraints; interview pressures	Full written exam	Technical mastery of valuation concepts + independent readings

- Both modes are fully legitimate
- Choose deliberately the one that fits your preferences / constraints
- Do not choose project mode if you are unwilling to engage with the project

When Do You Choose the Assessment Mode?

- If your attendance is below 75%, you can only take the non-attending exam
- If your attendance is at least 75%, you keep both options open:

Option	Assessment
Attending / Project Mode	Shorter final exam + group homework grade
Non-Attending / Exam Mode	Full final exam, no homework grade counted

- Group homework grades will be released before the final-exam registration deadline
- Thus, if you attend and submit the homework, you may still decide to take the full non-attending exam
- Your final registration choice determines which assessment mode applies

Assessment: Total Assessment

- **Attending** ($\geq$ 75% attendance)
  - The assessment will be the result of a final written exam and a group homework score
  - Final Written Exam: from 0 to 15 out of 31
  - Group Homework: from 0 to 16 out of 31, valid until September 2027
  - The course is passed if Final Grade (Final Written Exam + Group Homework) $\geq$ 18
- **Non-attending** ($<$ 75% attendance; or $\geq$ 75% but choosing non-attending mode)
  - Final Written Exam: from 0 to 31 out of 31
- Students who reach a Final Grade of 31 will get a final mark of "30 cum laude"
- Academic readings are mandatory only for the non-attending exam track,
  unless explicitly discussed in class

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Assessment: Final Written Exam

- Closed book; no formula sheet allowed; one basic scientific calculator allowed
  - Basic = no internal storage; no symbolic/NPV calculations
- Test issued in campus, on students' own PCs, with Respondus software
- Draft (non-graded) paper allowed; Excel or AI not allowed

- **Attending** ($\geq$ 75% attendance)
  - Final Written Exam: 45 minutes; 15 MCQ; NOT on homework
    - 7 MCQ on Part One
    - 7 MCQ on Part Two
    - 1 MCQ on Testimonials

- **Non-attending** ($<$ 75% attendance; or $\geq$ 75% but choosing non-attending mode)
  - Final Written Exam: 60 minutes; 31 MCQ; NOT on homework or testimonials
    - 14 MCQ on Part One
    - 14 MCQ on Part Two
    - 3 MCQ on Academic Readings

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- Each MCQ worth 1 point; $\exists$ only 1 correct answer out of 4 choices; no penalty for wrong answers

Mock Exam Protocol

- Mock exam without answers released first
- Attempt it under exam conditions
- Solutions released later
- The solution file is useful only if you have attempted the mock first

Assessment: Group Homework for Attending Students

- Group Homework
  - Group homework is mandatory for attending students only
  - In real life, e.g., investment banking, valuation is a team effort
    $\Longrightarrow$ It is crucial to learn how to work in a team
  - You may use AI as support, e.g., to brainstorm peers, summarize filings, check consistency
    However, you remain responsible for sources, assumptions, calculations, and final judgment
- Groups' Composition
  - Groups normally contain 5-6 students, subject to admin constraints
  - Detailed rules in the homework instructions
  - It is up to you to reach out for your group's members and get in touch
- Homework Outline
  - The format is a PPT presentation, to be prepared and uploaded in Blackboard
  - Homework will be presented and discussed in class during 4 dedicated lessons
  - Detailed instructions and homework calendar uploaded in Blackboard

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What “Good” Looks Like in the Group Homework

A sanitized model-answer pack will be made available on Blackboard: Use it as a benchmark for structure and reasoning, not as a template to copy

Business model & equity story



Clear business model, value drivers, and equity story

Accounting reclassification



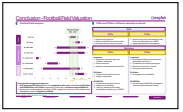
Adjustments explained, sourced, and justified

Forecast drivers



Forecasts linked to business economics

Valuation bridge / final range



DCF, multiples, valuation range, recommendation

- The full annotated pack will show why these are strong examples
- The objective is to imitate the discipline, not the exact layout

Course Content: Priority List

Material	Attending (Project Mode)	Non-Attending (Exam Mode)
Core Slides	Mandatory	Mandatory
Discussion Questions	Core Exam Preparation	Core Exam Preparation
JJ Jones Case	Core Learning Spine	Core Exam Preparation
Group Homework	Mandatory	Not Applicable
Academic Papers	Optional unless discussed in class	Mandatory (3 MCQs)
Testimonial	Exam Relevant (1 MCQ)	Not Exam Relevant
Extra Reports	Optional	Optional

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Textbook and Material: Part 1

- No single official textbook ...

  ... because the course combines theory, professional practice, cases, and research

- Best references
  - **Best General Reference**: Principles of Corporate Finance, by R. Brealey et al., 2025 (McGrawHill), chapters 15-18
  - **Best Valuation Reference**: Corporate Valuation, by R.W. Holthausen, M.E. Zmijewski, 3rd Edition
  - **Best Practitioner Reference**: Corporate Valuation by McKinsey, 8th Edition 2025 (Wiley)
  - **Best Exercise Reference**: Valuation Workbook by A. Ghezzi, L. Zanetti, 2022 (EGEA)
  - **Best Theory Reference**: Stochastic Discounted Cash Flow, by L. Kruschwitz, A. Loffler, 2020 (Springer)

Textbook and Material: Part 2

- Academic papers (aka “Independent Readings”), in Blackboard
  - Mandatory for non-attending students (3 MCQs)
  - Optional for attending students, unless explicitly discussed in class
  - Their purpose is not to memorize academic details, but to extract professional takeaways

- How to read academic papers and what to take away from them

  For each paper, be ready to address:
  - What is the research question of the paper?
  - What existing wisdom or theory is the paper trying to confute or corroborate?
  - What is the methodology used by the author(s)?
  - What are the main results and conclusions?
  - What are the professional implications?
  - What are the limitations of the paper?

- Two research ideas will be highlighted in class
  - Coherent business planning
  - Payout policy as signaling safety

One Suggested Way to Prepare for Class

- In most classes there will be “Discussion Questions”
- Prior to class, you should:
  - (i) read the relevant material in Blackboard, and
  - (ii) attempt to answer the “Discussion Questions” in the handout, either alone or in group
- In class, we will solve the “Discussion Questions”
- There are no grades for attendance, class participation, or handing over your solution
  - However, you are welcome to participate, share your answers, questions, or doubts
  - *“Discussion Questions” are representative of the questions you will get in the final exam*
  - *Learning happens when you attempt the questions before seeing the solution*
  - *Reading the solution is not the same as being able to solve the problem*

Plan

Plan for Today

- Understanding course content and organization
- Unifying view of business valuation's problems

For Next Time

- Review the material covered in class today
- Be mindful of groups composition
- Take a look at discussion questions (coming up)

Agenda

1. Course Content
   i. Teaching Staff
   ii. Introduction
   iii. Valuation
   iv. Objectives
   v. Priority List
   vi. Textbook and Material
   vii. Homework
   viii. Teaching Methods
   ix. Engage and Enjoy

2. Introduction to Business Valuation
   i. General Picture
   ii. Misconceptions about Valuation

3. Cases
   i. Ocado Group PLC
   ii. Facebook
   iii. Nvidia

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Course Content

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Who Are We?

- When I don't teach, I study how execs, firms, and institutions make financial decisions
- Two of my research papers will enter this course directly:

1. The Coherence Side of Rationality: Theory and Evidence from Firm Plans, with P. Giustinelli, forthcoming, *Review of Financial Studies*
   Topic: what makes firm plans internally consistent

2. Signaling Safety, with R. Michaely and M. Weber, *Journal of Financial Economics* 139, 405-427
   Topic: what payout policy reveals about firms' cash-flow risk

- If you are looking for my other work, you can check out:
  https://finance.unibocconi.eu/people/stefano-rossi https://sites.google.com/site/srossi2212/home

Who are you? How many finance/econ/mgmt/computer science background?

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Other Members of the Team





- Office Hours: by appointment

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cesare.conti@unibocconi.it zappella.ronny@unibocconi.it davide.buosi@unibocconi.it

Elisa Santi



Administrative assistant

- elisa.santi@unibocconi.it

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When and Where We Meet

When and where we meet — 20127 Corporate Finance (Business Valuation)

- Classes:
  - Class 44: Tue 16:30-18:00 in N35 and Thu 16:30-18:00 in N38
  - Class 45: Mon 10:15-11:45 in N36 and Wed 10:15-11:45 in N36
  - Class 46: Mon 12:00-13:30 in N37 and Wed 14:45-16:45 in N04
  - Class 47: Tue 14:45-16:15 in N35 and Thu 14:45-16:15 in N36

- Office Hours: by appointment, stefano.rossi@unibocconi.it; Office 2-E1-07

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Course Content: Objectives

- This course focuses on the financial analysis and valuation of companies
- The course aims at providing students with:
  - The conceptual and theoretical framework underpinning valuation
  - The practical tools to do business valuation in real life
- We will analyze and discuss the main methodologies the practical approaches of corporate valuation commonly used by practitioners (financial analysts, investment and merchant banks, consulting firms)
- Examples and cases of corporate valuation will include:
  - Discounted Cash Flow (DCF) method
  - Stock market and deal multiples
  - Industry-specific and case-specific techniques

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Schedule

Session #	Content	Workflow Step	Instructor
Part One			
1	Course Outline & Intro	Why Valuation is hard	**SR**
2	Valuation Methods	Accounting → Cash Flow	**SR**
3	Earnings & Cash Flows	Accounting → Cash Flow	**SR**
4	Business Forecasting	Story → coherent forecasts	**SR**
5	Special Topic	Research-based judgment: coherent plans	**SR**
6, 7	APV & FCFF	Cash Flow → Value	**SR**
8	Special Topic	Research-based judgment: payout policy	**SR**
Part Two			
9	Cost of Capital	Cost of capital	**DB**
10	Growth & Value	Growth and Value	**DB**
11	DDM	Equity Valuation	**RZ**
12	FCFE	Equity Valuation	**RZ**
13, 14	Multiples	Relative Valuation	**RZ**
15, 16	Special Topics	Professional extensions	**CC**

JJ Jones will be the running case for Part One

JJ Jones: Our Running Case in Part One

Session #	What JJ Jones Will Help Us Learn
2, 3	From accounting numbers to FCFO and FCFE
4, 5	From business plan to coherent forecasts
Special Topic 01	Why coherent plans matter for valuation
6, 7	From cash flows to value using WACC/APV
8	How professional judgment enters valuation
Special Topic 02	How payout policy reveals cash flow risk

- By the end of Part One, JJ Jones should feel like one connected valuation problem, not a set of disconnected exercises

Course Content: Engage and Enjoy

- Clear communication is important
- Being relaxed in the classroom is important
- Do not be intimidated by the material we plan to cover
- Asking for clarifications or breaks or slowdowns if needed is important
- Finance becomes much easier once the **jargon** is translated into economic intuition

Introduction to Business Valuation

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Business Valuation: Common Misconceptions

Myth 1: A valuation is an objective search for "true" value

Truth 1.1: Valuation depends on perspective: buyer, seller, analyst, lender

Myth 2: A good valuation provides an exact estimate of value

Truth 2.1: All estimates are subject to error (hype/sentiment vs bad inputs)

Myth 3: Since valuation models are quantitative, valuation is objective

Truth 3.1: Valuation combines disciplined mechanics with judgment

Myth 4: A well-researched valuation is timeless

Truth 4.1: Any valuation is affected by firm-specific and market-wide information

Truth 4.2: Valuation is conditional on information available today

Myth 5: The more quantitative a model, the better the valuation

Truth 5.1: The fewer the model's inputs, the easier it is to understand a valuation

Truth 5.2: Simpler valuation models can do better (on average) than complex ones

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Advanced Big Picture: Why Valuation is Hard

- In business valuation we do not know the cash flows, discount rates, or risk exposures

  $\Longrightarrow$ We must estimate all of them

Big Picture: Three main questions in asset pricing:

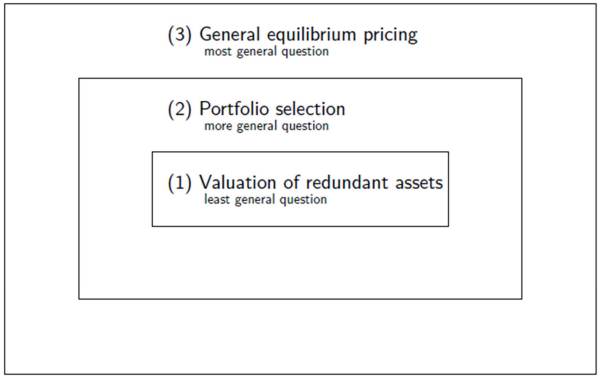
1. How to value redundant securities? **No-arbitrage valuation**
   - Least general question
     - We are given prices of fundamental assets and the desired cash flows
     - We need to determine only the replicating portfolio strategy
2. How to determine optimal portfolio policies of investors? **Portfolio selection**
   - More general than previous question
     - We are given prices of fundamental assets
     - We need to determine both the desired cash flows and the portfolio strategy generating them
3. How to value in a market with optimizing investors? **Equilibrium valuation**
   - Most general question
     - We need to determine prices of fundamental assets, desired cash flows, and the portfolio strategy replicating them





Business Valuation: General Picture

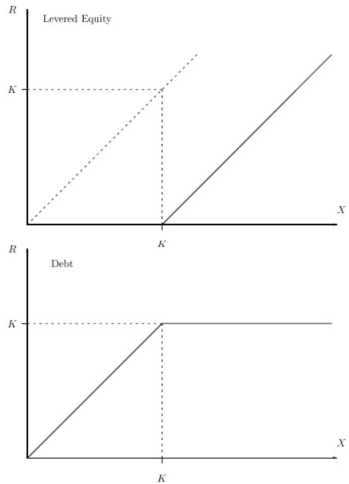
The three questions are nested



Business valuation is a “general equilibrium pricing problem”

Business Valuation and Option Valuation

Debt and Equity can be seen as options on the Firm's Assets — Debt and Equity as "Redundant Assets"



(Levered) Equity

- Long 1 Call with strike price K, or
- Long 1 Underlying Asset (i.e. Firm's Assets, X)
  + Long 1 Put with strike price K
  + Short 1 riskless bond with face value K

(Risky) Debt

- Long 1 riskless bond with face value K
  + Short 1 put with strike price K

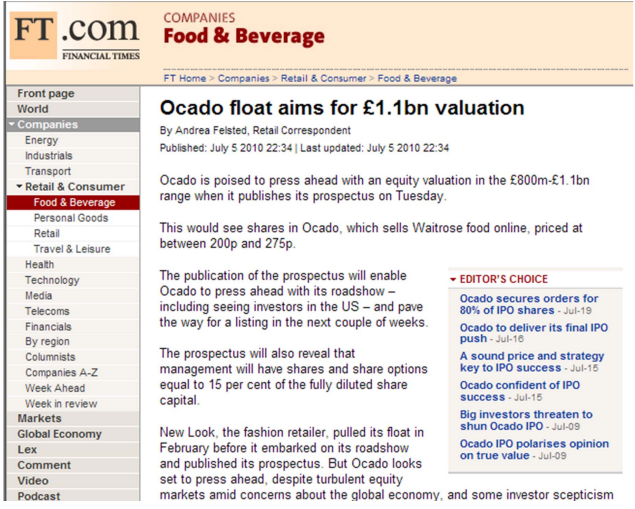
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Case: Ocado Group PLC

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Business Valuation: Ocado Group PLC IPO — Prospectus



FT .com FINANCIAL TIMES

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Ocado float aims for £1.1bn valuation

By Andrea Felsted, Retail Correspondent

Published: July 5 2010 22:34 | Last updated: July 5 2010 22:34

Ocado is poised to press ahead with an equity valuation in the £800m-£1.1bn range when it publishes its prospectus on Tuesday.

This would see shares in Ocado, which sells Waitrose food online, priced at between 200p and 275p.

The publication of the prospectus will enable Ocado to press ahead with its roadshow – including seeing investors in the US – and pave the way for a listing in the next couple of weeks.

The prospectus will also reveal that management will have shares and share options equal to 15 per cent of the fully diluted share capital.

New Look, the fashion retailer, pulled its float in February before it embarked on its roadshow and published its prospectus. But Ocado looks set to press ahead, despite turbulent equity markets amid concerns about the global economy, and some investor scepticism

EDITOR'S CHOICE

Ocado secures orders for 80% of IPO shares - Jul-19

Ocado to deliver its final IPO push - Jul-16

A sound price and strategy key to IPO success - Jul-15

Ocado confident of IPO success - Jul-15

Big investors threaten to shun Ocado IPO - Jul-09

Ocado IPO polarises opinion on true value - Jul-09

What would you need to believe to justify a £1.1bn valuation?

Business Valuation: Ocado Group PLC IPO — Analysts

FT.com FINANCIAL TIMES

COMPANIES
Retail

Lesson 1: Valuation depends on assumptions and perspective

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  - Week in review
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- Global Economy

Ocado IPO polarises opinion on true value

By Andrea Felsted, Kate Burgess and Neil Hume

Published: July 9 2010 23:31 | Last updated: July 9 2010 23:31

Ocado's float is polarising the City and is set to spark a debate that will rage far outside its home counties heartland.

On one side are the supporters who argue that the **online grocer**, which sells Waitrose food, is changing the face of retail.

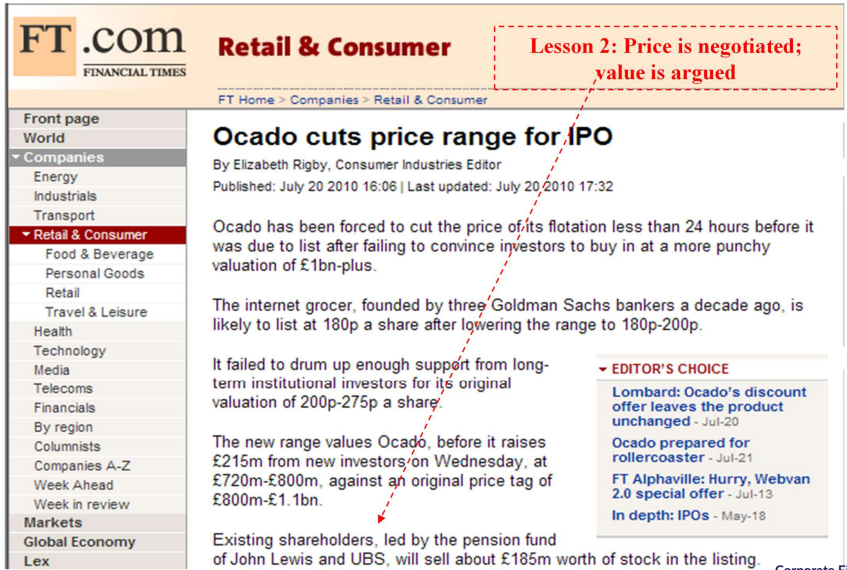


However, critics of the float are just as vocal.

"The company needs the money", says Richard Buxton, head of UK equities at Schroders, pointing to a series of warning signs.

The business model is under threat, he says; the assumptions on earnings growth are heroic and the valuation put on the float is way above its peers; a change in policy introduced recently has helped to cut the depreciation charge in half; and, he adds, some of the founders are selling large amounts of their holdings.

Business Valuation: Ocado Group PLC IPO — Institutions



FT .com
FINANCIAL TIMES

Retail & Consumer

Lesson 2: Price is negotiated; value is argued

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Ocado cuts price range for IPO

By Elizabeth Rigby, Consumer Industries Editor

Published: July 20 2010 16:06 | Last updated: July 20 2010 17:32

Ocado has been forced to cut the price of its flotation less than 24 hours before it was due to list after failing to convince investors to buy in at a more punchy valuation of £1bn-plus.

The internet grocer, founded by three Goldman Sachs bankers a decade ago, is likely to list at 180p a share after lowering the range to 180p-200p.

It failed to drum up enough support from long-term institutional investors for its original valuation of 200p-275p a share.

The new range values Ocado, before it raises £215m from new investors on Wednesday, at £720m-£800m, against an original price tag of £800m-£1.1bn.

Existing shareholders, led by the pension fund of John Lewis and UBS, will sell about £185m worth of stock in the listing.

EDITOR'S CHOICE

- Lombard: Ocado's discount offer leaves the product unchanged - Jul-20
- Ocado prepared for rollercoaster - Jul-21
- FT Alphaville: Hurry, Webvan 2.0 special offer - Jul-13
- In depth: IPOs - May-18

Business Valuation: Ocado Group PLC IPO — First Trading Day

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Ocado shares slump 14% on first trading day

By Rupert Steiner
22 July 2010, 8:35am
Vote

Lesson 3: A valuation is not an exact estimate; it is tested by new information and market demand

Online grocer **Ocado** suffered the embarrassment of seeing its shares slump 14% in its first day of conditional trading on the London market despite slashing its offer price to 180p.

Chief executive Tim Steiner blamed the fall on hedge funds betting on the retailer's shares plunging.

'I am not overly surprised a couple of hedge funds wanted to have a pop at the open,' he said.

'I am not gutted. We are going to hire thousands of people and sell loads of groceries and that will ultimately grow the share



Lukewarm response: Ocado slumped in its first day's trading

Was the IPO valuation wrong, or was the market reaction short-term noise?

Ocado: Two Analysts, Same Company, Opposite Recommendations

August 31, 2010

ACTION

Buy

Ocado Group PLC (OCDO.L)

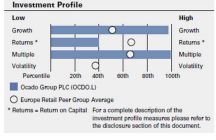
Return Potential: 39%

Goldman Sachs

Delivering groceries and growth. Initiating as Buy

Source of opportunity

We initiate on Ocado with a Buy rating and a 6-month price target of 200p, implying 39% potential upside. In our view, Ocado's differentiated business model (proprietary centralised, semi-automated distribution and delivery network) results in a superior customer offering relative to other online grocers in the UK (e.g. more flexible delivery slots, higher order accuracy), hence, the company is well placed to benefit from the structural shift towards online grocery. We expect the UK online grocery market to more than double over the next five years, from c.£3 bn in 2009 to over £7 bn in 2014 and Ocado's sales to grow at a 26% CAGR over the same period.



Morgan Stanley

MORGAN STANLEY RESEARCH EUROPE

August 31, 2010

Stock Rating
Underweight

Industry View
Attractive

Ocado Group plc

Can Ocado Really Deliver Jam Tomorrow? U/W

Initiating with an Underweight rating and an 80p price target: We are big fans of Ocado's customer proposition, but are rather less keen on its business model. We believe that the shares are likely to underperform the industry much further in the coming months.

Morgan Stanley & Co. International plc*
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+44 (0)20 7425 8954
Charlie J Muir-Sands
Edouard Aubin
Fred Bjelland, CFA

Key Ratios and Statistics

Reuters: OCDO.L Bloomberg: OCDO EB
Retailing - Food / United Kingdom

Price target	**80p**
Shr price, close (Aug 27, 2010)	144p
52-Week Range	180-131p
Mkt cap, curr (mn)	£576
Net debt (1I/1De) (mn)*	£(60)
EV, curr (mn)*	£683

* = GAAP or approximated based on GAAP

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Same company; Same date; Different assumptions about growth, margins, execution risk, and scalability

Ocado Group PLC: New Information Changed the Valuation

- **Goldman Sachs' view (August 11, 2011)**

August 11, 2011

Lesson 4: A valuation if conditional on information available today

Goldman Sachs

COMPANY UPDATE

Ocado Group PLC (OCDO.L)

Buy

Equity Research

Revising estimates and price target; retain Buy rating

What's changed

We update our estimates to reflect continued capacity constraints, especially in 3Q2011 (12 weeks to August 7).

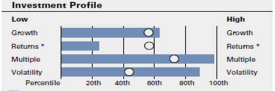
We now forecast FY2011 net revenue growth of 20% (from 23%) to £619 mn. We expect 3Q11 gross revenue to exhibit similar quarterly seasonality of previous years and assume growth of c.17% yoy (down c.2% qoq; 3Q2010: -2% qoq). As the company expects CFC1 expansion to be completed by the end of summer, we expect this to impact 4Q11 (16 weeks to November 27) performance and our estimates imply c.21% gross revenue growth in 4Q. Our FY2011E and FY2012E revenues decline by 2% and 5%, respectively, and EBITDA declines by 7% and 15%.

We retain our FY2013E and FY2014E revenue growth of 25% and 28%, as we expect CFC2 to be completed in late FY2012/early FY2013.

Implications

We retain our view that successful capacity expansion (especially CFC1 in the near term) remains key for Ocado to meet our revenue and profitability estimates. We continue to expect CFC1 to reach capacity of c.140,000 orders per week by November 2011 and full capacity of c.180,000 orders

Investment Profile



* Returns = Return on Capital For a complete description of the investment profile measures please refer to the disclosure section of this document.

Key data				Current
Price (p)				133.5
6 month price target (p)				225
Upside/downside (%)				69
Market cap (£ mn)				695.1
Enterprise value (£ mn)				792.7
	11/10	11/11E	11/12E	11/13E
Revenue (£ mn) New	**515.7**	**619.0**	**753.8**	**943.1**
Revenue revision (%)	0.0	(2.2)	(4.7)	(4.7)
EBIT (£ mn) New	**(1.8)**	**9.3**	**22.0**	**22.0**
EBIT revision (%)	0.0	(21.6)	(29.0)	(37.4)
EPS (p) New	**(0.83)**	**0.75**	**2.68**	**2.12**
EPS (p) Old	(0.83)	1.25	4.40	4.76
EV/EBITDA (X)	26.6	22.7	16.6	12.9
P/E (X)	NM	177.1	49.9	62.9

Ocado Group PLC: Who Was Right, and Over What Horizon?



Was the IPO price wrong? Was Goldman wrong? Was Morgan Stanley wrong?

Or did the answer depend on horizon and information?

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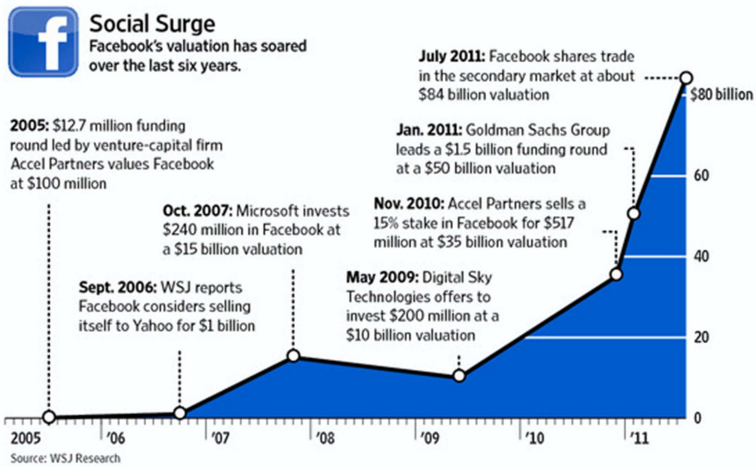
Takeaway: Good valuation is not clairvoyance. It is a disciplined, transparent argument under uncertainty

Case: Facebook

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Business Valuation: Facebook



Business Valuation: Facebook Share Price, May 2012 — August 2025



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Facebook: Bottom Line

- High-growth firms force you to value scalability, network effects, reinvestment, and competitive advantage under extreme uncertainty

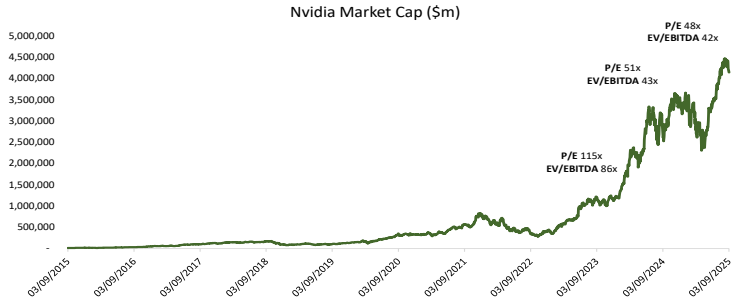
- Was Facebook expensive in 2012 because the price was high, or cheap because the market underestimated scalability?

Case: Nvidia

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Business Valuation: Nvidia, May 2022 — September 2025



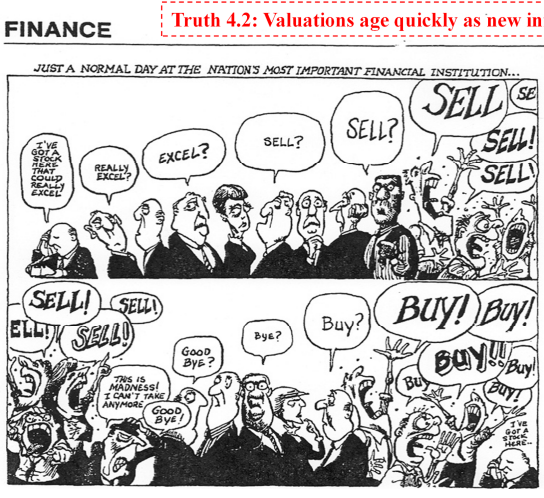
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Q. When P/E falls while market cap rises, what must be happening?

A. Either earnings expectations are rising even faster than price, or realized earnings catch up with prior expectations

Business Valuation: Information is Crucial

Truth 4.2: Valuations age quickly as new info is available



Takeaways

- Valuation is not just a formula; it is a professional argument
- Every valuation rests on a coherent chain:

equity story, financial statements, forecasts, cash flows, discount rates, terminal value, multiples, and recommendation

- Different valuations arise because analysts differ in assumptions, perspective, horizon, information
- Good valuation is not clairvoyance; it is disciplined, transparent judgment under uncertainty
- JJ Jones will be our running case for learning the workflow in Part One

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